

on the vehicle. This is done prior to entering into serious negotiations with a dealer. Then he telephones all the dealers (his long list) and invites them to compete for his business. He has no problem buying a Porsche from a low-price-oriented, out-of-town dealer. Those dealers who designate themselves as price-oriented are then placed on Dr. South's short list. The others are dropped from consideration.

Dealers on his short list are contacted once again. During this stage of the process, Dr. South quizzes the dealers about their willingness to sell at below cost. While doing so, he reminds them of the low prices quoted by other dealers. He also asks about program/off-lease vehicles. But his heart is always set on a brand new model.

At the end of the month, Dr. South recontacts all the low-price-oriented dealers. Dr. South does this because he feels that dealers have "sales quotas and bank notes due" at that time. He invites all these dealers to give their "final lowest bid" for his business. For his most recent purchase, during the last day of the month and after a flurry of phone calls, he finally accepted a bid from an out-of-town dealer.

Dr. South is penny-wise, pound-foolish when purchasing motor vehicles. But he has convinced himself that he is a prudent buyer. After all, he spends much time and energy trying to buy cars at or near dealer cost. But perhaps dealer cost was too high a price to pay. It is difficult to accumulate wealth if you spend much of your time, energy, and money for a so-called dealer cost price on an extremely expensive motor vehicle.

Consider this fact: Most millionaires we have interviewed never in their lifetimes spent near \$65,000 for an automobile. In fact, as we will report in Chapter 4, more than half the millionaires we interviewed never paid more than \$30,000 for a motor vehicle. Remember, though, Dr. South is not a millionaire. Certainly in terms of net worth, millionaires are better able to afford a \$65,000 automobile. But they ignore such opportunities. As so often is said, "That's why they're millionaires!"

Certainly the consumption of very expensive automobiles has a dampening effect on the probability that one will ever accumulate significant wealth. During the year we interviewed him, Dr. South spent more than \$70,000 for his most recent motor vehicle purchase, related sales tax, and insurance. Yet for the same period, how much did he place in his pension plan? About \$5,700! In other words, only about \$1 in every \$125 of his income was set aside for retirement. The amount of time Dr. South took to find the best deal on his car was also counterproductive. We estimated that it took him more than sixty hours